



WIESŁAW PIETRUSZKIEWICZ

COURSE INFORMATION

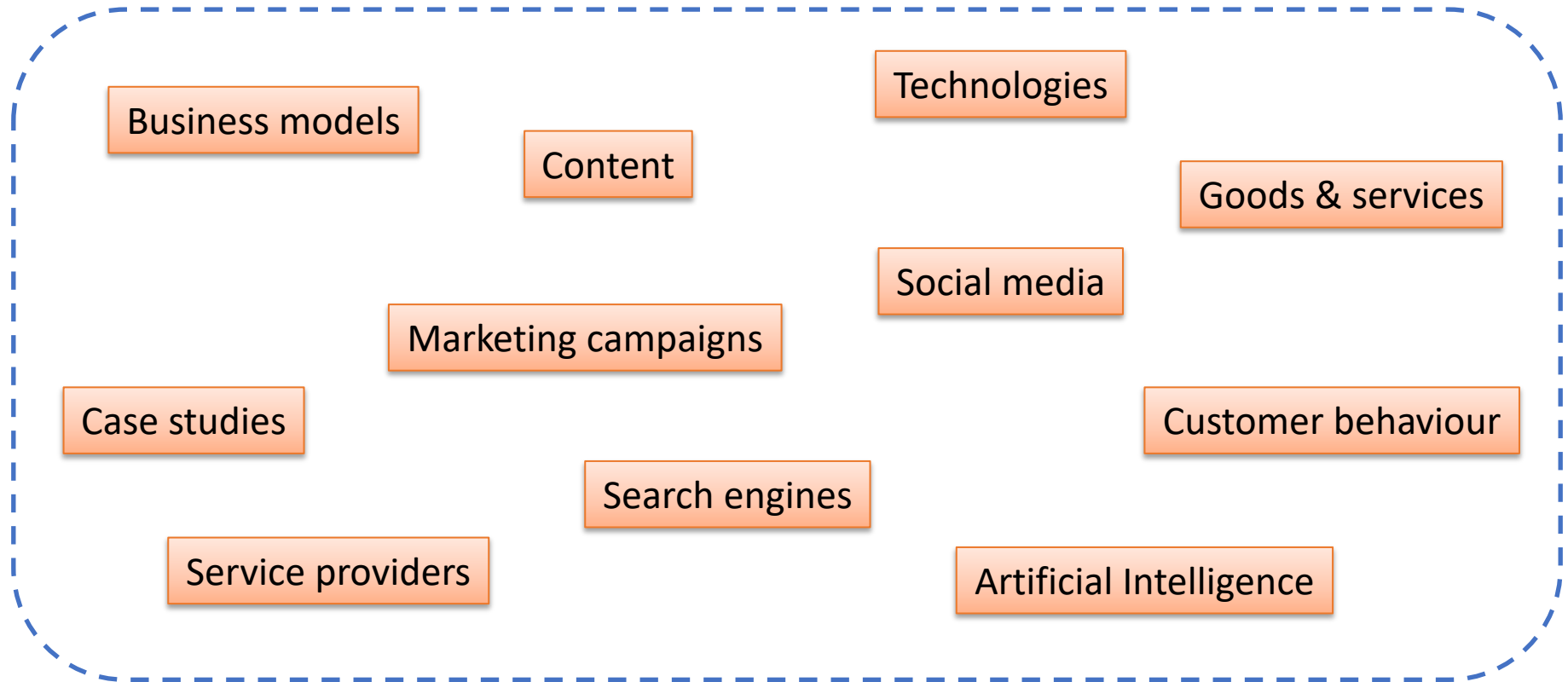
Aim

The aim of this course is to:

- Understand how a business entity can benefit by using internet to conduct its sales
- Define desired e-commerce model
- Be able to select proper technologies
- Efficiently use resources to achieve goals
- Know how to shape and deliver online marketing message

Scope

We will discuss different topic including:



Evaluation

Lectures:

- Written exam
- Open-ended questions
- Based on theory and proving a proper understanding of EC&OM (practical questions)

Exercises:

- Individually solved tasks
- Some tasks might be grouped, and incrementally build-up subject

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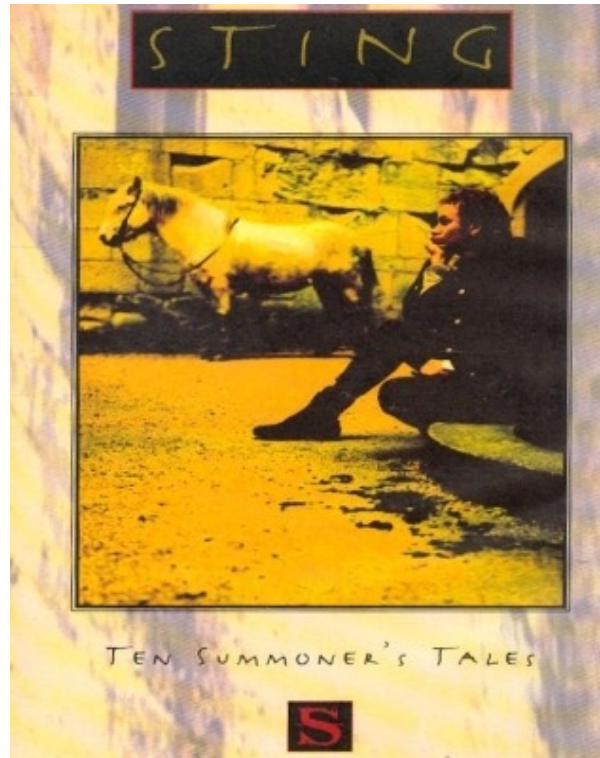
INTRODUCTION

First Internet Transaction(s)

**71-72 facilitated by
internet (ARPANET)**



**11.08.1994 -
NetMarket**



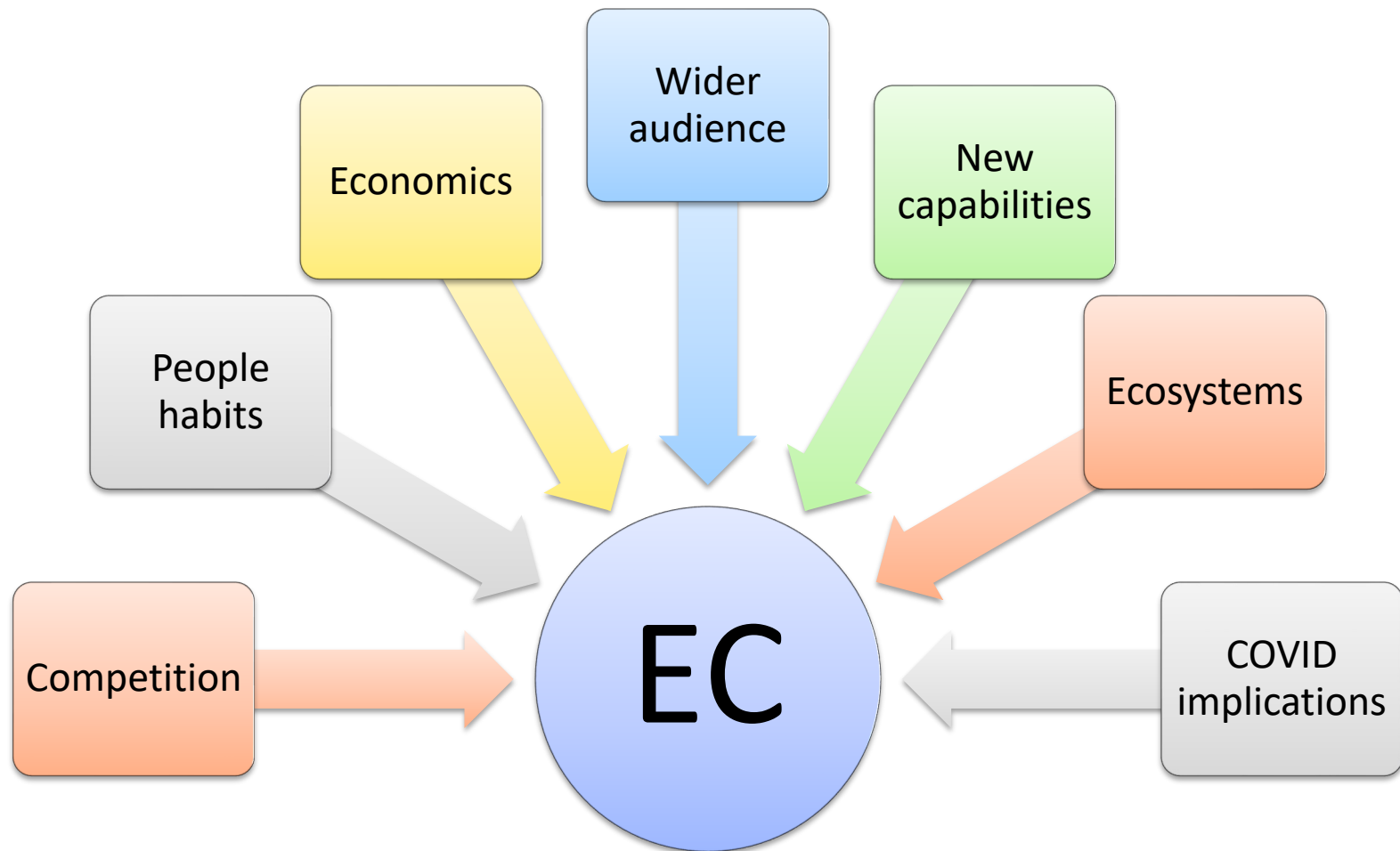
**~07.1994 The Internet
Shopping Network**



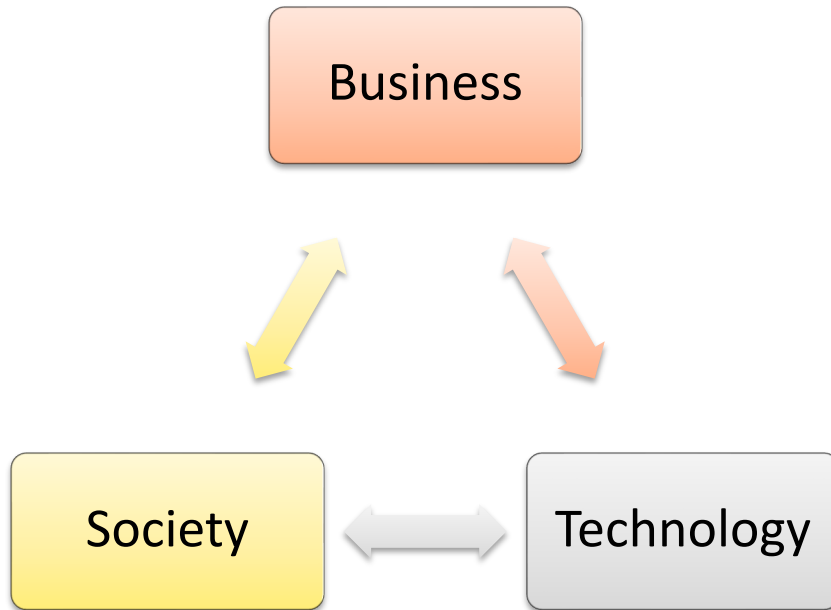
What exactly is E-commerce?

- Ecommerce is the buying and selling of goods and services over the Internet. (Investopedia)
- Ecommerce, also known as electronic commerce or internet commerce, refers to the buying and selling of goods or services using the internet, and the transfer of money and data to execute these transactions. (Shopify)
- E-commerce (electronic commerce) is the activity of electronically buying or selling of products on online services or over the Internet. (Wikipedia)
- e-commerce, in full electronic commerce, maintaining relationships and conducting business transactions that include selling information, services, and goods by means of computer telecommunications networks. (Enc. Britannica)
- eCommerce is a sales channel that crosses all industries that sell or promote brand awareness online and is considered a sales channel and part of a businesses' digital strategy. (US International Trade Administration)

Why do we talk about EC?



E-commerce factors



- Each factor stimulates the others
- In some cases they limit each other
- These factors evolve in time
- Inhibitors = habits & resources

Relations

There are 2 sides of this relations (including non-business ones):

- **Business**
- **Customer**
- *Public*
- *Government*
- *Citizen*
- *Administration*

- B2C
- C2B
- B2B
- C2C
- O2O (Online 2 Offline)

E-Commerce Key Segments

Business-To-Customer **B2C**

- Merchant transacts with an individual customer
- Presentation->Ordering->Payments
- Typical segment of E-commerce (in a common sense)

Business-To-Business **B2B**

- Usually more complex than B2C
- May be more frequent than B2C
- Deeper relation between its sides

Customer-To-Customer **C2C**

- Typical scenario – auctions
- Business acts as intermediary
- Market-maker = platform provider

Customer-To-Business **C2B**

- Reversed traditional model
- May reuse of B2C environments
- Result of deeper penetration of highly sophisticated IT
- Labour markets (crowdsourcing)

Top reasons why clients choose EC

Costs	• Lower prices
Time	• No travelling, no queues, no opening hours
Selection	• Wide range of goods
Convenience	• An EC-gateway in your pockets, purses etc.
Information	• Reviews, comments, multimedia
Support	• Additional services, advices
Habits	• EC became a natural choice
Other	• Social alienation,

Top reasons why clients do not choose EC

Habits

- *Old habits die hard*

Uncertainty

- Due to sizing, colours, patterns etc.

Availability

- Delivery time

Skills

- No proper basic IT skills

Unpopularity

- No EC in selected branches

Ineffectiveness

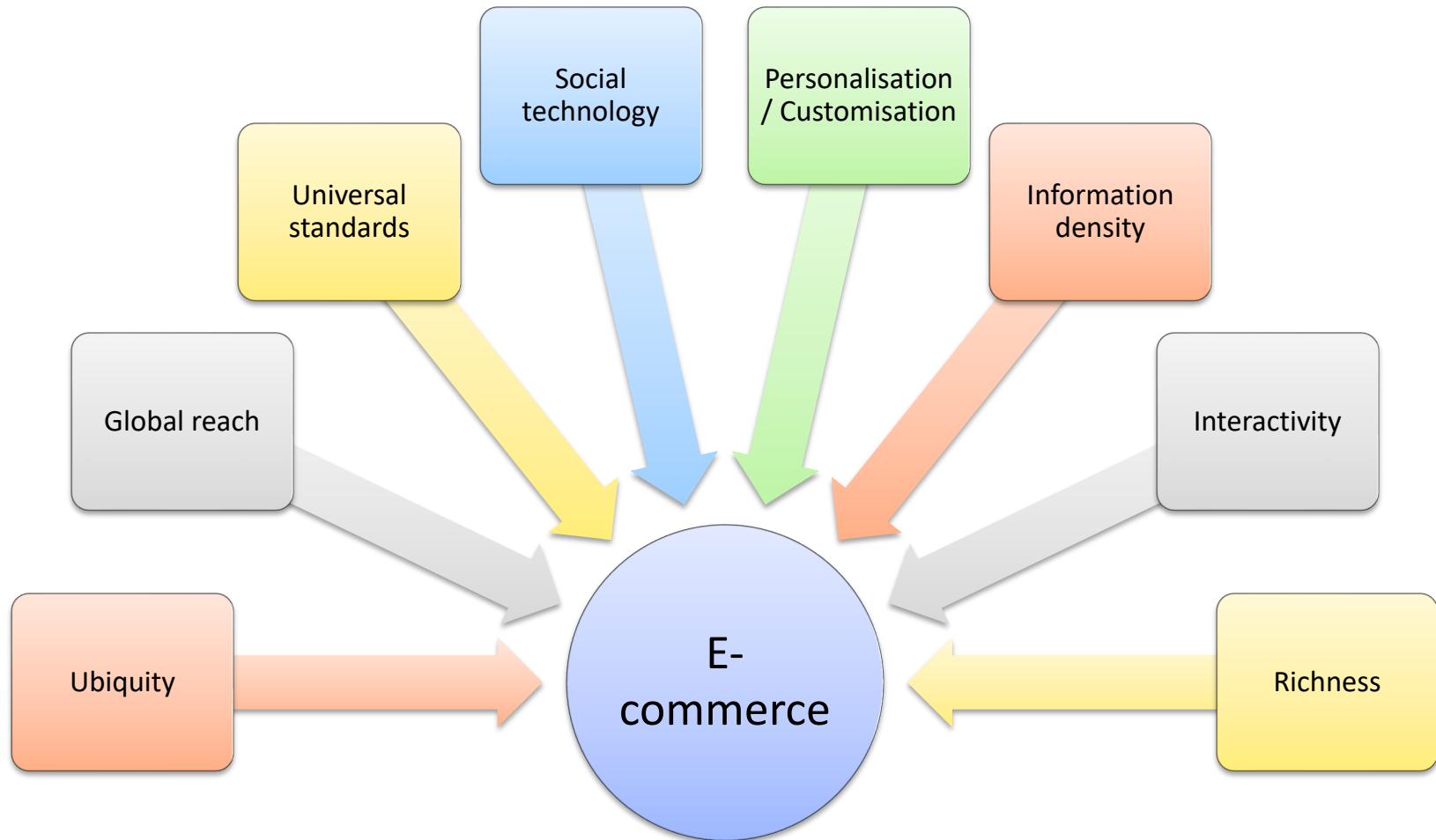
- Delivery issues (size of items, freshness)

E vs traditional commerce – In pictures



8 Unique Features of E-Commerce

(According to Laudon And Traver – E-commerce, Pearson)



Key characteristics - Ubiquity

- Easily available, not requiring any physical presence
- Available at any time – fulfillment of transaction may happen within a defined time frame
- Lowers the costs & energy required to transact in a marketplace

Key characteristics – Global Reach

- Allows to cross regional boundaries
- Allows to cross cultural boundaries
- Allows to cross legal boundaries (an issue for governments)
- Forms the global audience
- It does not force E-commerce business to be global, but allows them to be
- Hardens the competition

Key characteristics – Universal Standard

- Common technologies lower the costs of operations
- Easier interchangeable business relations
- Cause market to be more efficient (in a sense of finding an equilibrium)
- OSI Model

Key characteristics - Richness

- High complexity of content
- Solves a trade-off between richness of message and its reach (low richness for large audience)
- Information can be easily layered (a different range of information depending on demand)
- Convenient for customers i.e., no need to process information “right now”

Key characteristics - Interactivity

- Enables two-way communication
- Engages customers more deeply
- Allows to process delivered information by automata (validation, filtering, processing)
- Possible in this form of commerce – impossible when commerce uses the other mass media

Key characteristics – Information Density

- High amount of high quality of information
- Increased currency of information
- Increased its accuracy
- Information is on time
- Merchants has access to more useful information (knows customers better)

Key characteristics –

Personalisation & Customisation

- Available information about past-purchases and behaviour (including other linked services)
- Customer-tailored content, adjusted to their interests or needs
- Greater segmentation of market
- More precise targeting of customers

Key characteristics – Social Technology

- Customers co-create content
- Customers influence each others (a chance and risk at the same time)
- Many-to-many model of communication
- In some cases, the costs of labour are partially transferred on customers (volunteers)

A leader one day, a loser next day

- E-commerce constantly proliferates
- Its quality also advances
- As usual, on a free market it results in a short-term competitive advantage
- If you don't keep up – you loose
- **That's how the progress of humankind works!**

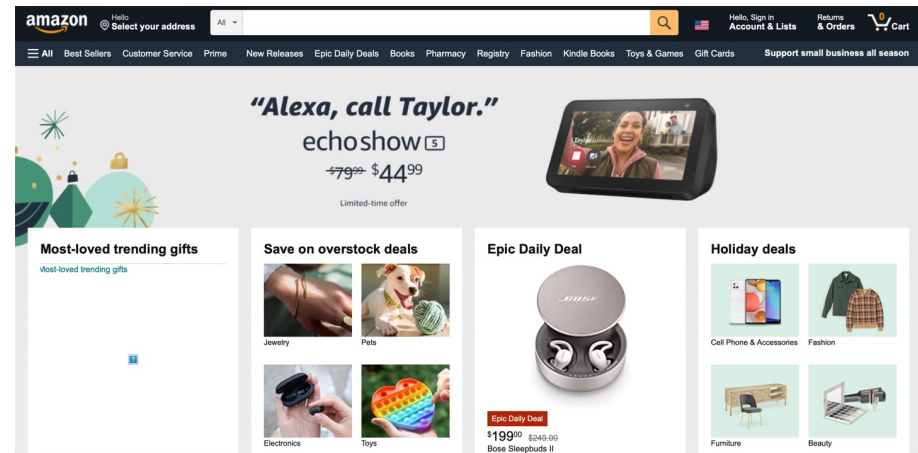
E-commerce and Online Marketing Technologies

Everything changes #1

Amazon 12.12.1998



Amazon 14.10.2021



Introduction to E-commerce and Online Marketing

Everything changes #2

Ebay 17.01.1999

HOME LISTINGS BUYERS SELLERS SEARCH HELP NEWS/CHAT SITE MAP

Search tips

stats

1,309,481 items for sale in 1,096 categories now!

Over 41 million items for sale on eBay since inception!

Over 151 million bids made since inception!

Over 600 million page views per month!

categories

[Antiques](#) (31858)
[Books, Movies, Music](#) (139714)
[Coins & Stamps](#) (50604)
[Collectibles](#) (433888)
[Computers](#) (46944)
[Dolls, Figures](#) (29969)
[Jewelry, Gemstones](#) (45151)
[Photo & Electronics](#) (20550)
[Pottery & Glass](#) (83789)
[Sports Memorabilia](#) (172850)
[Toys & Beanies@](#) (174750)
[Miscellaneous](#) (80072)
[all categories...](#)

featurEd

[The Day You Were Born CD-Last Chance!!](#)
[Drive Your Own Water Well - Y2K Irrigation](#)
[Canon Bjc 600/610/620 Bcmy Ink Cartridge Set](#)
[Mitsubishi Digital Camera 2MB & Soft Case \\$89](#)
[Don't Miss ! Pink Tourmaline & Diamond Ring !](#)
[Electric Cord Reel **New**Warranty**](#)

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Ebay 14.10.2021

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Get your home ready for fall
Up to 50% off Certified Refurbished vacuums, appliances, and home
[Rake in the savings →](#)

Vacuums →
Starting at \$90

Kitchen appliances →
Starting at \$99

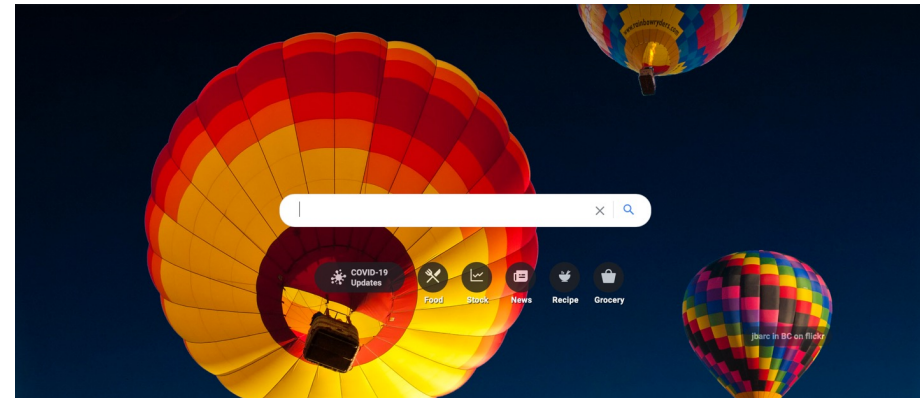
Home audio →
Starting at \$89

Shop Callaway Pre-Owned
Get savings, direct from the brand.
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Everything changes #3 – Altavista CS

Altavista 10.02.1998

Yahoo 13.10.2021



Altavista Case Study #1

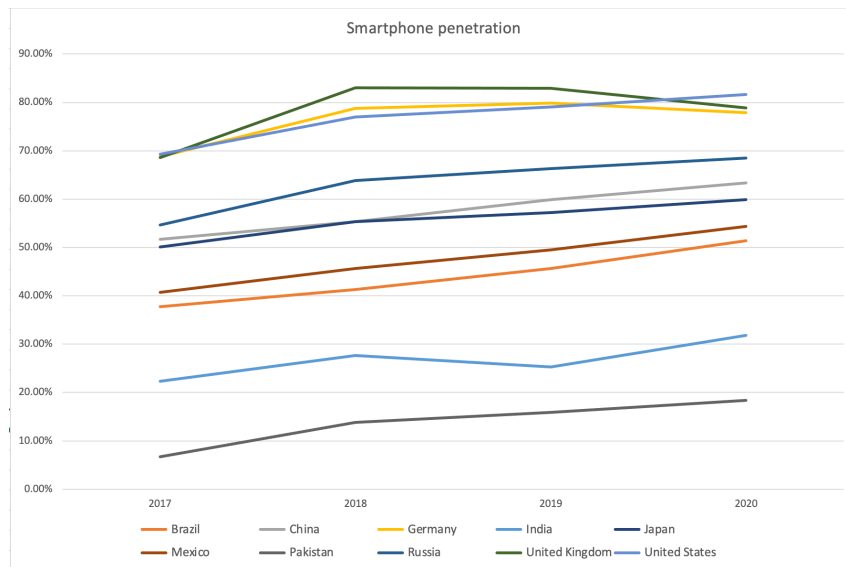
- Early search engines were compiling different sources and used manual submissions
- Content was limited and outdated
- Altavista launched in 1995, originating as a test for Digital's (DEC) supercomputers
- Using web-crawling AV become a huge success
- It was a main search engine in late 90s
- Natural language queries, operators & params.

Altavista Case Study #2

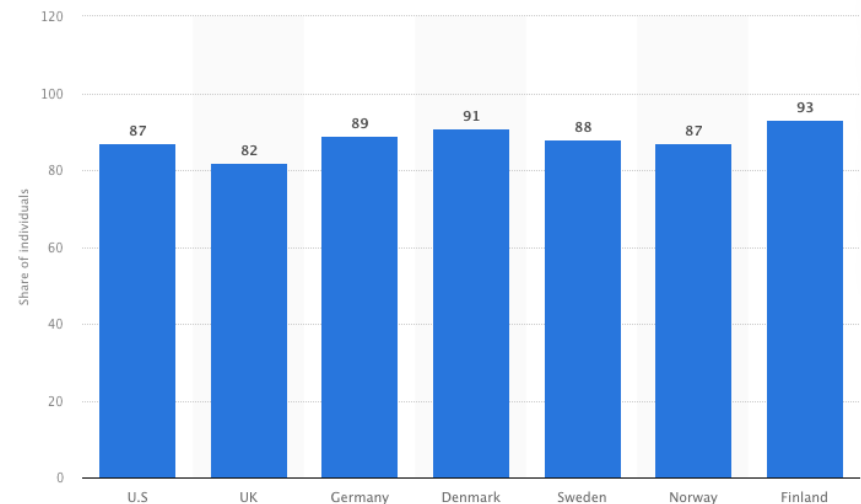
- DEC acquired by Compaq in 1998
- Altavista was turn into a more complex portal
- Became more similar to its competitors
- In 1998 Google was founded
- Around 2001 Google surpassed AltaVista
- In 2003 Yahoo acquired Overture, which previously acquired AltaVista
- AltaVista was closed in 2013

PC vs Smartphone

Global Mobile Market Report 2017-2020



Household Access to Computers 2020



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Unusual E-commerce devices



Summary

- E-commerce has multiple forms
- Its shape is driven by a range of business, sociological & technological factors
- It offers a set of unique features, bringing benefits (if properly applied)
- It is a one-way tendency i.e., this branch of commerce may only become more significant (or at least until another revolution starts)

TILL NEXT LECTURE